

BE
BE N/A

Hold	\$232.86 ▼ 4.33%	12M Price Target \$260.00	52-Week Range \$24.04 – \$351.28	Market Cap \$66.24B
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BE: Short-Seller Hangover Meets AI Data Center Tailwinds

WHAT HAPPENED

- Stock dropped 4.3% on light volume (1.7M vs usual 10M+) — that light volume is important. It means today's drop isn't panic selling, it's more like nobody's buying the dip yet after the Hunterbrook short-seller report earlier this week attacked Bloom's supply-chain claims.
- The stock is up roughly 12x over the past year (per Simply Wall St piece), so some digestion here is healthy — you had \$257 on July 9 and now \$233. That's a 9% pullback in a week after a monster run.

WHY IT MATTERS

Here's what's really going on: BE has become the poster child for the "AI needs power NOW" trade. Utilities take 5-7 years to build new capacity, but hyperscalers (Amazon, Microsoft, Google) need gigawatts yesterday to run their AI data centers. Bloom's fuel cells can be installed in months and run on natural gas or hydrogen — that's why the stock 12x'd. The Hunterbrook short attack is the classic pattern: when a stock runs this hard, shorts come circling to poke holes in the story. The fact that shares are "bruised but not broken" (Barchart's words) tells you the fundamental thesis is still intact — but the easy money has been made and you're now in the "prove it with earnings" phase.

POLICY & POLITICAL WATCH

The big policy tailwind is the Trump administration's push to fast-track energy infrastructure for AI — executive orders earlier this year streamlined permitting for on-site power generation, which directly benefits Bloom. The headwind to watch: the 45V hydrogen production tax credit rules and any rollback of Inflation Reduction Act clean energy credits — Bloom's electrolyzer business depends on these. Also keep an eye on natural gas pipeline policy, because most of Bloom's fuel cells run on gas, and any state-level restrictions (like in NY or CA) cap their addressable market.

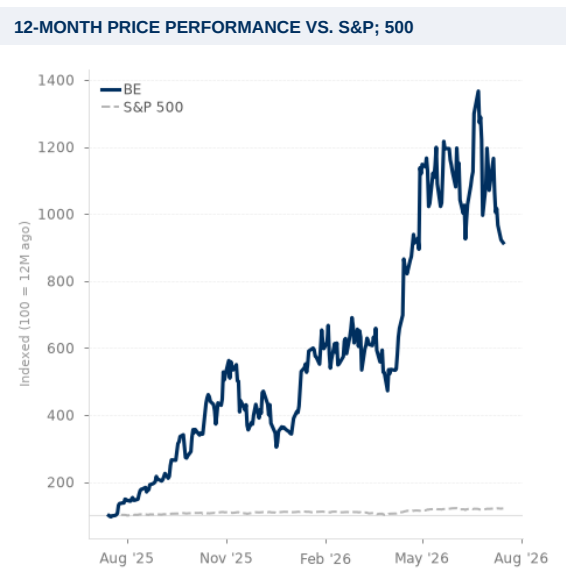
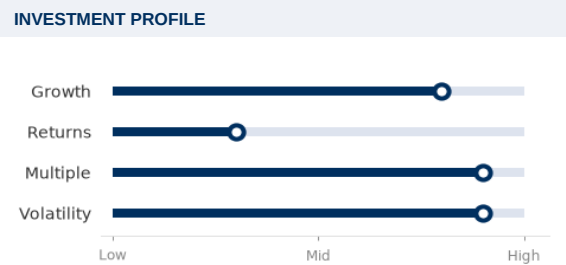
IS IT EXPENSIVE?

This is where it gets scary — at \$66B market cap on ~\$2.1B expected revenue, investors are paying about \$31 for every \$1 of sales. Compare that to established power equipment names like GE Vernova at ~\$5 per \$1 of sales. The stock is priced for flawless execution and massive data center wins. It CAN be justified if Bloom lands 2-3 more mega-deals with hyperscalers (they already have Oracle, AEP), but there's zero margin for error at this multiple.

WHAT COULD GO WRONG

- The Hunterbrook short report on supply chain — if any of those claims prove true (component sourcing, margin sustainability), this stock gives back 30-40% fast.

Key Data	
Price (USD)	\$232.86
12M Price Target	\$260.00
Upside / (Downside)	+11.7%
Market Cap	\$66.24B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.85
Fwd P/E	665.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$240.00	\$200.00
6 Months	\$320.00	\$260.00	\$180.00
1 Year	\$380.00	\$280.00	\$160.00
2 Years	\$450.00	\$320.00	\$140.00
5 Years	\$600.00	\$380.00	\$100.00
10 Years	\$900.00	\$500.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+3.2% 5D) and Tech (+2.4% 5D) — the AI infrastructure trade is very much alive, which is BE's macro tailwind.

COOLING OFF: Materials (-1.6% 5D) — suggests the market isn't buying a broad industrial cycle, it's laser-focused on AI/data center plays specifically.

ROTATION WATCH: Money is rotating INTO anything that solves the AI power bottleneck — nuclear (SMR names), grid equipment, on-site generation. That's a direct tailwind for BE, which is why the pullback should find buyers.

RELATED PLAY: If you like the AI-power thesis but want less single-name risk, look at GEV (GE Vernova) for grid/turbines, VST (Vistra) for nuclear-backed data center power, or CEG (Constellation) for the utility side of the same trade.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Riding the nuclear-for-AI trade — they signed the landmark Microsoft Three Mile Island deal template that everyone's copying.
- GEV (GE Vernova): Gas turbine backlog is stretched to 2028+ because everyone wants power capacity now.

BE CONTEXT: BE has actually LED this peer group over the last 12 months (up ~12x), but is now lagging on the pullback. That's classic — the highest-beta name in a thematic trade goes up the most AND corrects the hardest. Watch VST and GEV — if they hold up while BE gets sold, the short-seller narrative is doing damage. If they all pull back together, it's just profit-taking.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the thesis but the valuation makes me nervous; this isn't a pound-the-table setup, it's a "own some, respect the volatility" setup.

POSITION SIZE: 2-3% max — the stock's 52-week range is \$24 to \$351. That's not a typo. Size for the volatility, not the story.

ENTRY POINTS: I'd rather add at \$200-215 than chase here at \$233. The stock's had a monster run and short-sellers are actively engaged — patience pays.

TIME HORIZON: 12-24 months — waiting for the next 2-3 hyperscaler contract announcements to validate the multiple. Q3 earnings is the near-term catalyst.

WHEN TO BAIL: Any credible confirmation of Hunterbrook's supply-chain claims, a hyperscaler canceling or delaying a project, or a capital raise that dilutes shareholders meaningfully.

HEDGING: Buy some cheap out-of-the-money puts around \$180 strike as insurance — the options market is telling you (put/call 0.92) that hedgers are already active. Or pair the long with a short in a boring utility to isolate the AI-power thesis.